

yield on users' assets by being a liquidity provider. The platform's flash swap functionality aids arbitrageurs in maintaining efficient markets and unlocks new use cases for users, who can access any ERC-20 token listed, including creating completely new tokens through an IDO. As AMM volume grows on Ethereum and new platforms arise with competing models, Uniswap will continue to be a leader and an example of critical infrastructure going forward (Table 6.4).

**Table 6.4 Problems That Uniswap Solves**

| <b>Traditional Finance</b>                                                                                                          |                                                                                                                                                                   |
|-------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Problem</b>                                                                                                                      | <b>Uniswap Solution</b>                                                                                                                                           |
| <i>Centralized control:</i> Exchanges that control which trading pairs are supported.                                               | Allows anyone to create a new trading pair if it does not already exist and automatically routes trades through the most efficient path if no direct pair exists. |
| <i>Limited access:</i> The best investment opportunities and returns from liquidity providing are restricted to large institutions. | Anyone can become a liquidity provider and earn fees for doing so. Any project can list its token on Uniswap to give anyone access to an investor.                |
| <i>Inefficiency:</i> Trades generally require two parties to clear.                                                                 | An AMM that allows constant access for trading against the contract.                                                                                              |

(Continued)